

DSCR SUPREME

Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTV Cash-Out Refinance	Property Type
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
720	1,500,000	80	75	
	2,000,000	75	70	
Housing & Credit Event Seasoning Requirements				
Credit Event Minimum Requirements BK/FC/SS/DIL/Mod	Borrowers with significant derogatory credit events must meet the following criteria: • All borrowers must have reestablished acceptable credit verified after the credit event. • Borrowers with unrelated multiple significant credit events are ineligible. • Minimum 4 years must have elapsed from the date of the credit event.			
Geographic Restrictions				
• FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. • HI: Wholesale – Ineligible, Does not apply to Correspondents. • MD: All Row Homes located in Baltimore City are ineligible. • NY: ○ See NY Subprime section for requirements. ○ Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).				
General Requirements				
DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals • Min 1.25 First Time Investors			
Product Type	• 30 Year Fixed Fully Amortizing • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 & 7/6 SOFR ARMs – 30 Yr Terms Only			
Loan Amounts	• Min \$150,000 - Max \$2,000,000			
Occupancy	• Investment Properties Business Purpose ONLY			
Loan Purpose	• Purchase, Rate/Term, and Cash Out			
2-1 Buydown	• Not permitted.			
Cash Out	• Minimum of 6 (six) months seasoning from most recent transaction • Exceeds the Rate/Term thresholds for max cash back: the lesser of \$5,000 or 2% of the loan amount. • > 50% LTV: Max \$1.0M • <= 50% LTV: Unlimited • Not permitted in Declining Markets			
Investor Experience	• Not required.			
Business Purpose Other	• No max financed properties • Entity vesting with fee simple ownership eligible.			
Borrower Eligibility	• US Citizens • Permanent Resident Aliens	Ineligible: • ITINs or DACA	• Foreign Nationals • Non-Permanent Resident Alien	
First Time Home Buyer	• Considered. See Guidelines			
Property Type	Single Family (Attached, Detached), PUD	• SFR with 1 or more ADU or 2-4 units with 1 ADU allowed provided the subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.		
	2-4 Units	• Reduce Matrix LTV by 5% • 2-4 units with 1 ADU allowed provided the subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations.		

	Warrantable Condos	• Max 75% LTV
	Leasehold	• Not permitted
Rural Properties	• Not Permitted	
Appraisals All Properties	• Appraisal Review Product to be ordered on all loans with an SSR over 2.5 except when HPML requirements call for a full second appraisal. • C3 condition rating or better. • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/	
Acreage	• Max 2 acres	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV. • Cash Out not permitted in Declining Markets.	

Rental Income Requirements

General Requirements:

- All refinance transactions require the property to be leased. Vacant property is not eligible except for properties leased through short term rental agencies; or with evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such.
- Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.

Short Term Rentals:

- Defined as properties leased on a nightly, weekly, monthly, or seasonal basis.
- ALL STRs require evidence from third party vendor validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding.
- Min DSCR ≥ 1.15
- Max LTV: Lesser of 75% or the LTV/CLTV available per the matrix.
- Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs.

Short Term Gross Rental Income:

- One of the following options depending upon the transaction:
 - 1007/1025 or
 - Alternative Short Term Rent Analysis form developed by an AMC or
 - 12-month look back on rents received using bank statements or 3rd party rental statements

When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents.

Long Term Gross Rental Income:

- If using the lesser of market rents or the lease, nothing further is required.
- If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120%.
- If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%.

DSCR Ratio Calculation:

DSCR Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)

Underwriting Requirements

Housing / Rental History	• 0x30x12
Credit Score	• For each borrower, the qualifying score is as follows: ◦ A minimum of 2 scores required. ◦ Borrowers with three credit scores: use the lowest middle score of all borrowers to qualify. ◦ Borrowers with 2 credit scores: use the lower of the two scores to qualify.

Tradelines	• Tradeline requirements may not be waived when the primary borrower has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated at least 12 months, OR 2 tradelines for 24+ months, OR 24-month mortgage history reporting on credit. • Tradelines must reflect an acceptable payment history – no exceptions. • Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable provided tradeline closed in the last 12 months.
Reserves	Reserves PITIA or ITIA, as applicable: ○ ≤ \$500,000 = 3 months ○ > \$500,000 to \$2,000,000 = 6 months • Cash-out proceeds can be used to satisfy reserves.
Gift Funds	• Allowed after a minimum 10% borrower contribution. • Gift funds may not be used to meet reserve requirements.
Assets	• 30-day asset verification required
Subordinate Financing	• Not Permitted
Escrow Waivers	Waiving escrows for taxes and insurance* is allowed on non-HPML loans and for the following product types if housing/rental history is 0x30x12: • May not waive escrow for flood insurance premiums for properties located in zones A or V. • Note: Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed. • LLPA applies.
Age of Documentation	• Credit - 120 days. • Assets - 90 days
Prepayment Penalty	• Required where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	• 6% maximum